Transaction Scenario

System: Microsoft Dynamics 365 Finance
Module: Accounts Receivable

Introduction

Enterprise Resource Planning (ERP) systems help organizations manage their financial and operational processes efficiently. One of the most widely used ERP solutions is **Microsoft Dynamics 365 Finance**, which provides integrated modules for financial management.

The **Accounts Receivable module** is responsible for managing customer invoices, tracking payments, and maintaining accurate records of customer balances.

This report demonstrates a transaction scenario that includes creating a customer invoice and recording the customer payment.

Scenario Title

Customer Free Text Invoice and Payment Processing

Business Scenario

The company provides consulting services to a customer, **Microsoft Corporation**.
After the service is completed, the company issues a **Free Text Invoice** to bill the customer.

The customer later pays the invoice through a bank transfer, and the payment is recorded in the system using the **Customer Payment Journal**.

This scenario demonstrates the full **Accounts Receivable cycle** from invoicing to payment settlement.

Objective

The objective of this transaction scenario is to demonstrate how to perform the following tasks in **Microsoft Dynamics 365 Finance**:

- Create a **Free Text Invoice**
- Post the invoice
- Record a **Customer Payment**
- Settle the payment against the invoice
- Update customer balance in Accounts Receivable

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Transaction Overview

Step	Process	Module
1	Create Free Text Invoice	Accounts Receivable
2	Post Invoice	Accounts Receivable
3	Create Customer Payment Journal	Accounts Receivable
4	Post Payment	Accounts Receivable
5	Settle Invoice	Accounts Receivable

Transaction Steps

Step 1 – Create Free Text Invoice

Navigation

Accounts Receivable
→ Invoices
→ Free Text Invoice

Customer Information

Field	Value
Customer Name	Microsoft Corporation
Customer Account	EMSH-000009
Customer Group	Foreign
Currency	USD
Payment Terms	Net 30 Days
Cash Discount	15D-1%
Invoice Date	20/02/2026
Due Date	28/03/2026

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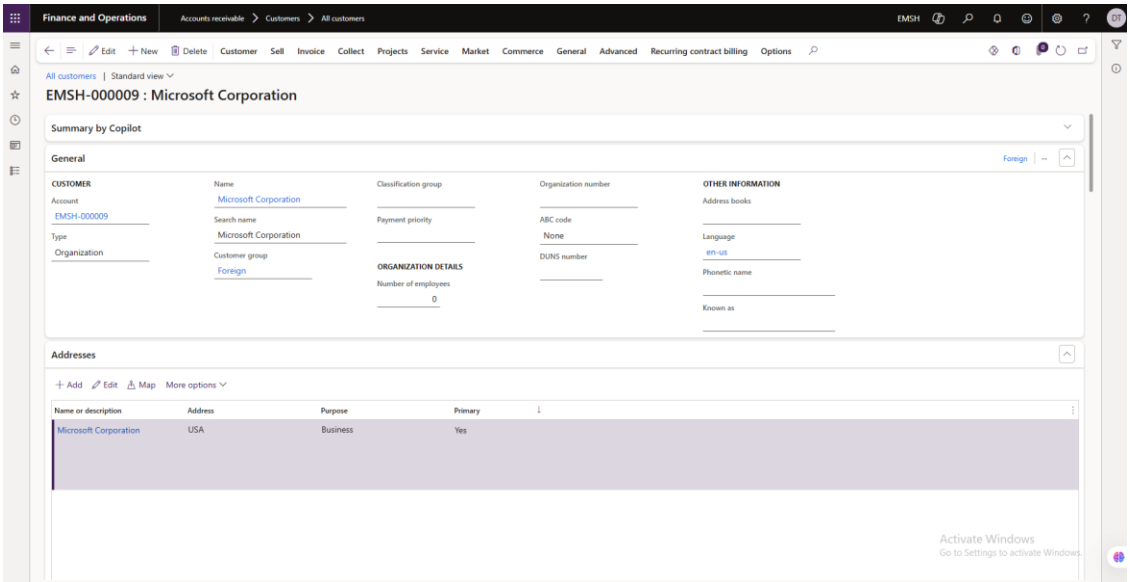

Figure 1: Customer Master Data Details - Microsoft Corporation

Invoice Line Details

Description	Main Account	Sales Tax Group	Quantity	Unit Price	Amount
Consulting Services	410101	SALES-VAT	1	40,000	40,000

Explanation

A **Free Text Invoice** is created to charge the customer for consulting services provided by the company.

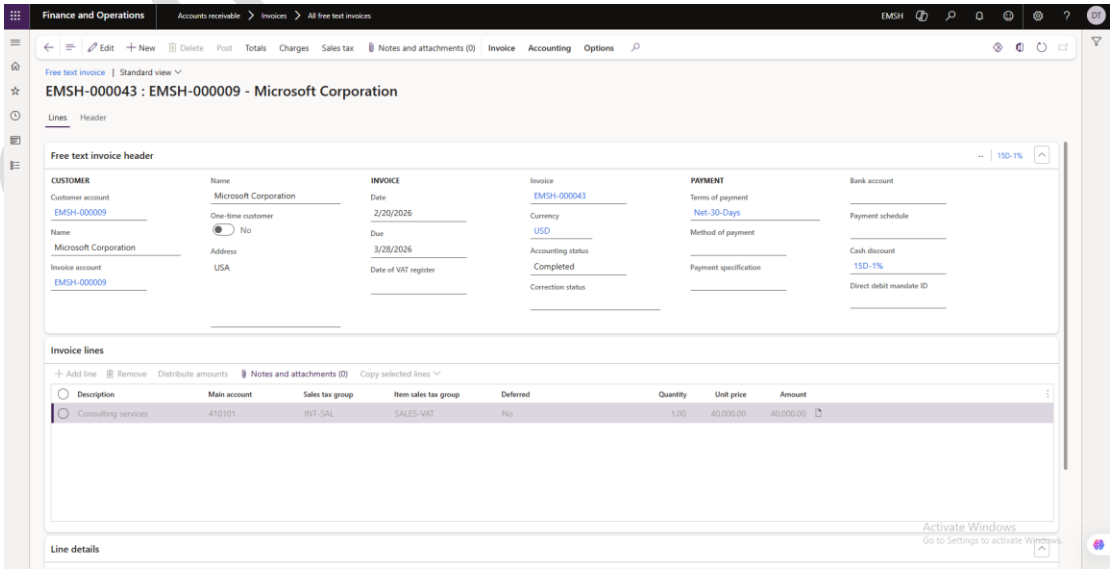

Figure 2: Free Text Invoice Details for Microsoft Corporation

Step 2 – Post the Invoice

After reviewing the invoice details, the invoice is **posted** in the system.

Accounting Impact

Account	Debit	Credit
Accounts Receivable	40,000	
Consulting Revenue		40,000

Explanation

The system records the amount as a receivable from the customer and recognizes revenue for the service provided.

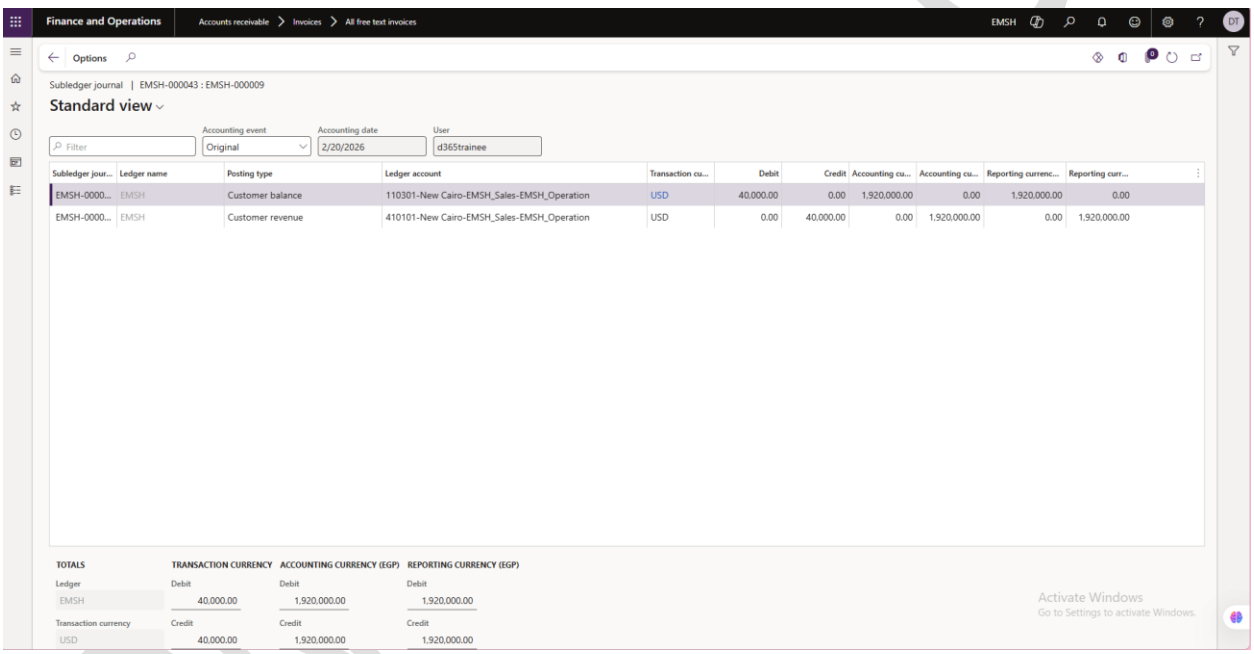

Figure 3: Invoice posting and subledger journal voucher

Step 3 – Create Customer Payment Journal

Navigation

Accounts Receivable
→ Payments
→ Customer Payment Journal

Payment Information

Field	Value
Customer	Microsoft Corporation
Invoice Number	EMSH-000043
Currency	USD
Date	2/28/2026
Payment Amount	39,600
Offset Account Type	Bank
Bank Account	QNB USD
Description	Payment for invoice EMSH-000043

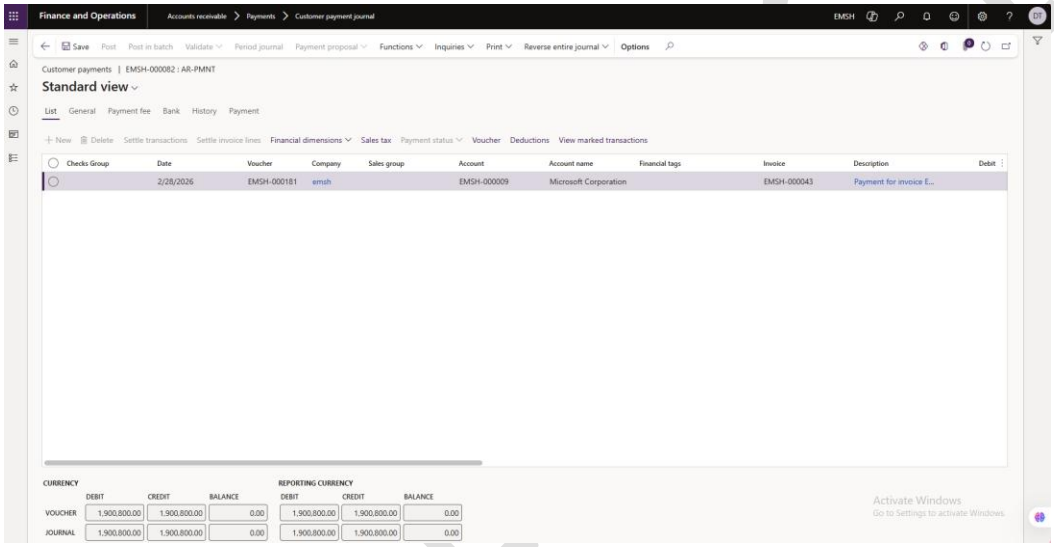

Figure 4: Recording customer payment in the payment journal

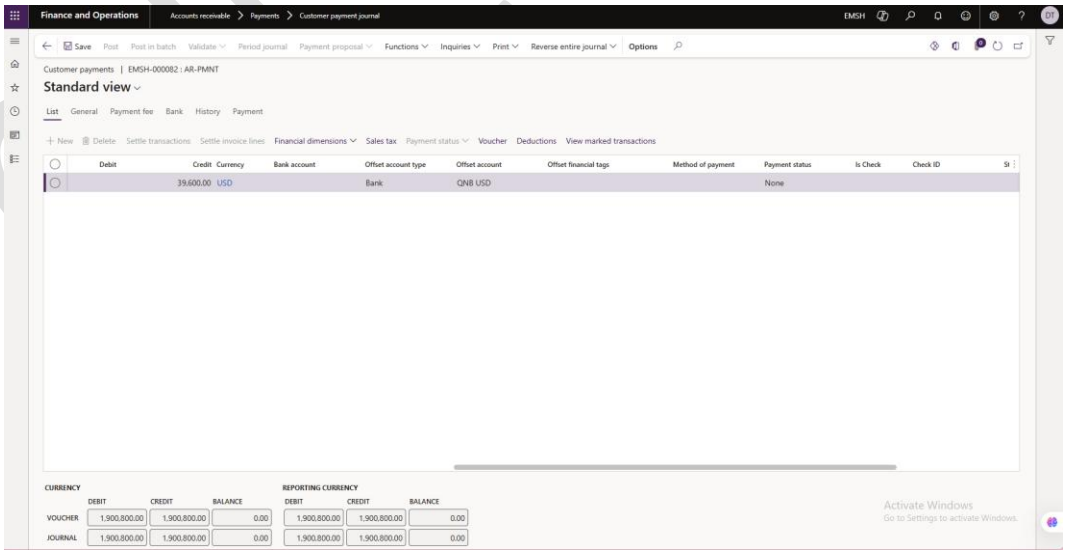

Figure 5: payment journal lines with Bank Offest Account

Step 4 – Post the Payment

The payment journal is validated and posted.

Accounting Impact

Account	Debit	Credit
Bank Account	39,600	
Cash Discount	400	
Accounts Receivable		40,000

Explanation

The payment is recorded in the bank account and reduces the outstanding balance of the customer.

“The Customer paid within the discount period (15 Days), so a 1% cash discount (400 USD) was applied. The Bank Account was debited with 39,600 USD, and the customer balance was fully settled.”

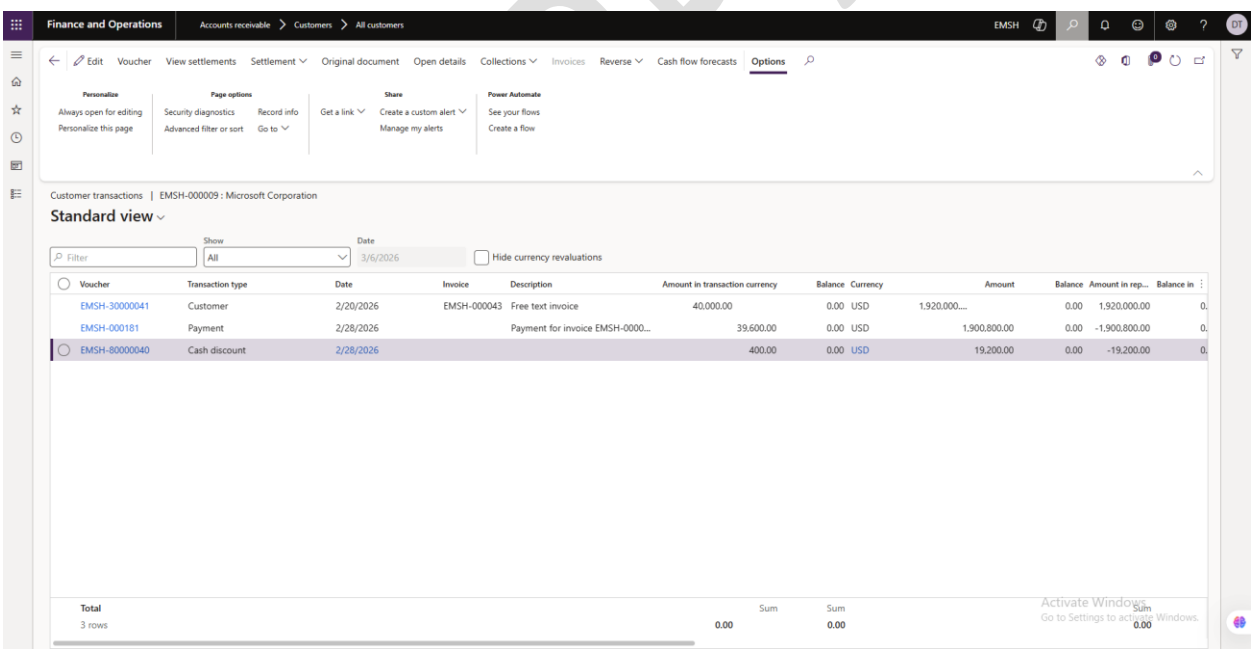

Figure 6: Cash Discount Calculation during invoice settlement.

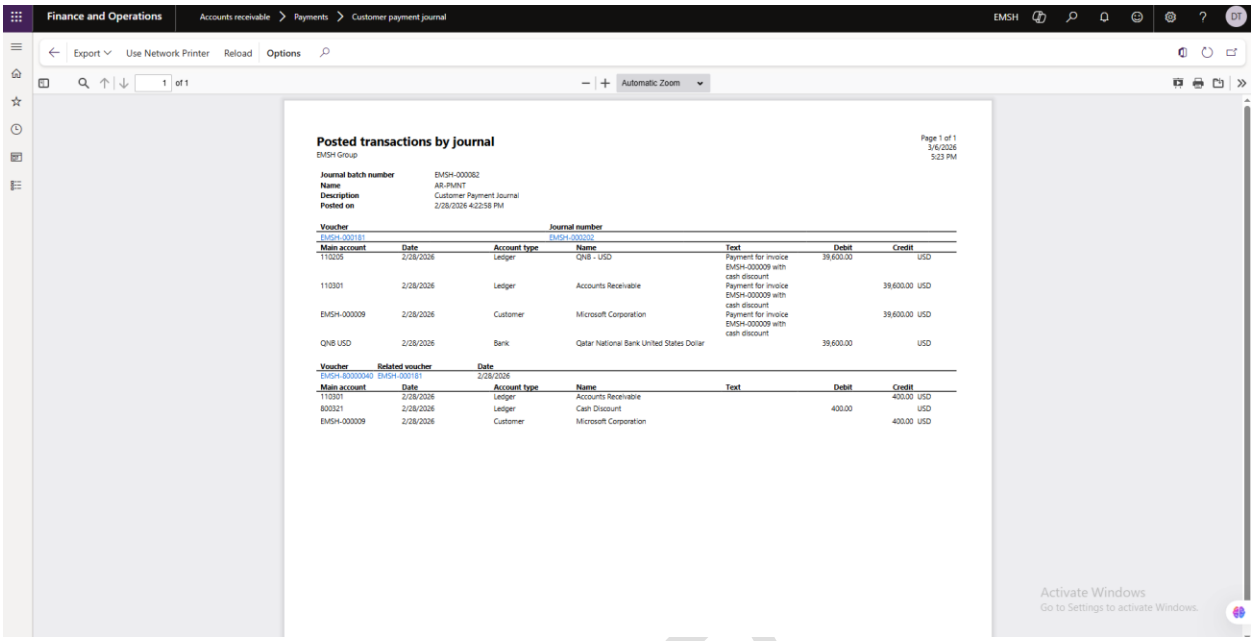

Figure 7: Posted transactions by journal.

Step 5 – Invoice Settlement

The payment is settled against the open invoice in the system.

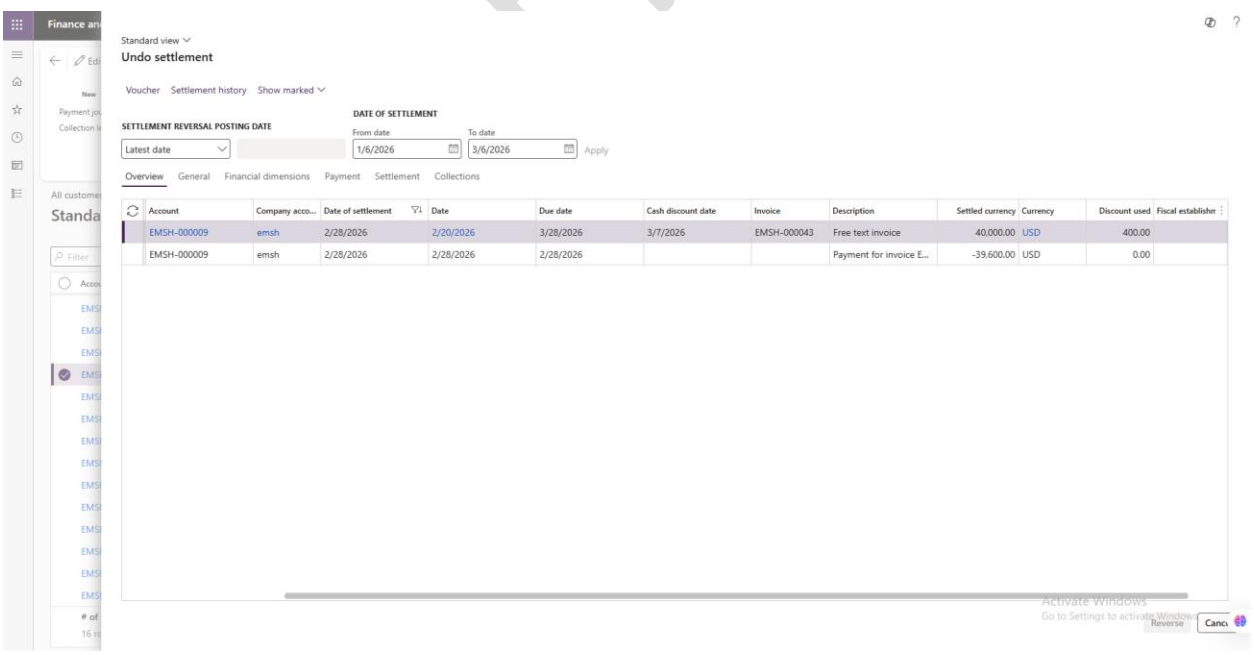

Figure 8: Settlement for Microsoft Corporation.

Result

- Invoice status becomes **Paid**
- Customer balance is reduced
- The transaction is completed successfully in **Accounts Receivable**

Transaction Result

After completing the transaction:

- The invoice is successfully created and posted
- The customer payment is recorded
- The invoice is settled against the payment
- The customer balance in Accounts Receivable is updated

This completes the Accounts Receivable transaction cycle.

Business Benefits

Using **Microsoft Dynamics 365 Finance** for Accounts Receivable provides:

- Accurate tracking of customer invoices
- Efficient payment processing
- Real-time financial reporting
- Improved cash flow management

Conclusion

The **Accounts Receivable module** in **Microsoft Dynamics 365 Finance** helps organizations efficiently manage customer invoices and payments.

Using ERP systems improves financial accuracy, enhances reporting capabilities, and ensures better control over customer transactions.

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